

and discussed during that time period, all suggested that Ms. Whitney was a “genius” after her remarkable call on Citibank's balance sheet blues.

But Ms. Whitney didn't stop there. She outlined her gloomy forecast for the municipal bond market on a December 2010 segment of the prime-time CBS news program *60 Minutes*. Ms. Whitney predicted there would be “50 to 100 sizable defaults.” She forcefully reiterated her prediction at the Spring 2012 Grant's Interest Rate Observer Conference, where we observed firsthand the emotional conviction Ms. Whitney felt for her bold prediction.

However, Ms. Whitney's powers of prediction were fleeting. In an article published in September 2012, the *Wall Street Journal* published a stinging article titled “Meredith Whitney Blew a Call—And Then Some.” The piece was quick to point out that that “there were just five defaults” in the municipal market.⁹

Ms. Whitney was off by at least a factor of 10.

Whitney's missed call embodies the assumptions underlying the expert hypothesis. She was a well-known expert with access to the best qualitative and quantitative data available. That, coupled with her well-known previous experience and astute intuition, made her story compelling to the media and other experts alike. Many believed that Whitney simply had to be right. Whitney, like everyone else, also thought she had to be right. She had access to important people in local and state governments who provided her with privileged “soft” information; she studied thousands of pages of municipal-bond term-sheets and macroeconomic research reports; and her recent experience making the call on the financial crisis crystallized in her own mind that she could trust her “gut.” Unfortunately, the potent combination of realized success and intense effort, gives human experts the “illusion of skill,”¹⁰ which translates into overconfidence and a failure to appreciate randomness. In other words, our highest conviction decisions are apt to cause us the most problems.

Summary

In this chapter, we described how a supposed expert, Victor Niederhoffer, twice blew up his funds through his hubris. We also described how this should make us all question our own expertise, since, like Niederhoffer, we